

GOVERNMENT OF INDIA
MINISTRY OF FINANCE — DEPARTMENT OF REVENUE
CENTRAL GOODS AND SERVICES TAX ACT, 2017

CGST COMMISSIONERATE, BENGALURU SOUTH
FORM GST DRC-01 [See Rule 142(1)]

Reference No. F. No. CGST/BLR-S/73/2025-26/009254
Date of Issue: 18-08-2026

To,
M/s NEXGEN IT SOLUTIONS LLP
GSTIN: 29AADCN3317Q1ZV
No. 18, 4th Cross, Koramangala Industrial Layout, Bengaluru – 560 095, Karnataka

Tax Period: April 2023 to March 2024 F.Y.: 2023-24
Act: Central Goods and Services Tax Act, 2017 / Karnataka SGST Act, 2017
Section: **Section 73(1) of the CGST Act, 2017 — Short Payment of Tax under RCM**

SUMMARY OF SHOW CAUSE NOTICE

(a) Brief Facts of the Case:

Scrutiny of returns filed by M/s Nexgen IT Solutions LLP for F.Y. 2023-24 reveals that the taxpayer has received services from unregistered advocates and legal service providers aggregating to Rs. 12,50,000/- (as evidenced from Form 26AS — TDS deductions under Section 194J). Legal services received from advocates are taxable under Reverse Charge Mechanism (RCM) as per Entry 2 of Notification No. 13/2017-CT (Rate) dated 28-06-2017. The taxpayer has neither discharged GST under RCM on these services nor declared any RCM liability in Table 3.1(d) of Form GSTR-3B for any month of F.Y. 2023-24.

(b) Grounds:

- Legal services received from individual advocates are mandatorily taxable under RCM at 18% GST (9% CGST + 9% SGST) as per Notification No. 13/2017-CT (Rate).
- The taxpayer, as the recipient of such services, is the person liable to pay tax under RCM as per Section 9(3) of the CGST Act, 2017.
- Total RCM tax payable: 18% on Rs. 12,50,000/- = Rs. 2,25,000/- (CGST Rs. 1,12,500/- + SGST Rs. 1,12,500/-) not declared or paid.
- ITC on RCM, if claimed by the taxpayer, shall be reversed to the extent of unpaid RCM tax.

(c) Tax and Other Dues:

Sr.	Tax Period	Act	State (POS)	Tax/Cess (Rs.)	Interest (Rs.)	Penalty (Rs.)	Total (Rs.)
1	Apr 23–Mar 24	CGST (RCM)	Karnataka	1,12,500	24,300	—	1,36,800
2	Apr 23–Mar 24	SGST (RCM)	Karnataka	1,12,500	24,300	—	1,36,800
			Total	2,25,000	48,600	To be det.	2,73,600

You are hereby called upon to show cause why GST of **Rs. 2,25,000/-** under Reverse Charge Mechanism along with interest of **Rs. 48,600/-** under Section 50 and penalty under Section 73 should not be demanded and recovered from you.

File your reply using Form DRC-06 on www.gst.gov.in within THIRTY (30) DAYS from the date of service of this notice (i.e., on or before 17-09-2026). Personal hearing scheduled on 22-09-2026 at 2:30 PM.

(Authorized Signatory)
Anitha Krishnamurthy
Superintendent, Range-IV, CGST
CGST Commissionerate, Bengaluru South